

1 ENGROSSED HOUSE
2 BILL NO. 3404

By: Grego and Patzkowsky of the
House

3 and

4 Murdock of the Senate
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8 An Act relating to agriculture; amending 2 O.S. 2021,
9 Section 16-28.3, which relates to the Oklahoma
10 Controlled Burn Indemnity Fund; changing name to the
11 Oklahoma Prescribed Burn Indemnity Fund; updating
12 statutory references; providing that the fund shall
not reimburse the participating landowner for certain
damages; removing certain requirement to participate
in fund; providing additional requirements to
participate in fund; and providing an effective date.

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15 BE IT ENACTED BY THE PEOPLE OF THE STATE OF OKLAHOMA:

16 SECTION 1. AMENDATORY 2 O.S. 2021, Section 16-28.3, is
17 amended to read as follows:

18 Section 16-28.3. A. There is hereby created within the
19 Oklahoma Conservation Commission, the "Oklahoma ~~Controlled~~
20 Prescribed Burn Indemnity Fund".

21 B. The Oklahoma Conservation Commission shall administer the
22 Oklahoma ~~Controlled~~ Prescribed Burn Indemnity Fund. The Indemnity
23 Fund shall be established for the benefit of landowners who perform
24 ~~controlled~~ prescribed burns. The Indemnity Fund shall compensate

landowners for losses incurred from a prescribed fire that spreads beyond the control of the burner, except for losses covered by insurance. The fund shall not reimburse the participating landowner for damages incurred on his or her own property.

C. In order to participate in the Indemnity Fund, the landowner shall:

1. ~~Work with the local conservation district office and the Natural Resources Conservation Service of the United States Department of Agriculture to develop a controlled burn plan based on the United States Department of Agriculture Natural Resources Conservation Service guidelines; and~~ Have a written prescribed burn plan for the parcel of land to be covered by the Oklahoma Prescribed Indemnity Burn Fund prepared by either the local conservation district office, the Natural Resources Conservation Service of the United States Department of Agriculture, the Oklahoma Department of Wildlife Conservation, Oklahoma State University Extension or other recognized entity that works with landowners to develop prescribed burn plans or a prescribed burn plan developed and written by the landowner of the property to be burned.

2. All burn plans submitted to the Conservation Commission for coverage by the Indemnity Fund shall include, at a minimum, the following information:

a. the name and telephone number of the landowner, group or organization conducting the burn,

- b. the address and legal description of the area to be burned,
- c. the objective and purpose of the burn,
- d. a list of fire departments and sheriff's offices that are required to be notified pursuant to paragraph 5 of this subsection,
- e. a list of adjoining landowners required to be notified pursuant to paragraph 3 of this subsection,
- f. a description of any firebreaks used to define the boundary of the prescribed burn,
- g. a statement of prescribed weather conditions,
- h. a description of any smoke-management considerations,
- i. a plan for adequate manpower and firefighting equipment for the control of the fire, and a plan providing for adequate personnel to watch over the fire until it is extinguished, and
- j. an ignition plan for the burn.

3. Notify in writing or orally all landowners whose lands adjoin the owner's land to be burned within sixty (60) days prior to conducting the burn and include in such notice the proposed date and location of the burn and a telephone number where the owner can be reached for information regarding the prescribed burn. If any landowner is burning on a large, consolidated tract of land in which

1 there are multiple adjacent owners, only those owners with adjoining
2 land within one (1) mile of the proposed burn area must be notified.

3 4. File with the Oklahoma Conservation Commission at least
4 thirty (30) days prior to conducting the burn a copy of the
5 prescribed burn plan provided for in paragraph 1 of this subsection;

6 5. Notify, in writing or orally, within forty-eight (48) hours
7 of conducting the burn, the local fire departments whose response
8 area covers the land to be burned, the local county sheriff's office
9 and, if the burn is to be conducted in a forestry service protection
10 area, a representative of the forestry service. Such notification
11 shall include the proposed date and location of the burn, and a
12 telephone number where the owner can be reached for information
13 regarding the prescribed burn.

14 6. At the time of filing the completed plan, provide payment of
15 ~~One Hundred Dollars (\$100.00)~~ Two Hundred Fifty Dollars (\$250.00) to
16 the Oklahoma Conservation Commission.

17 D. The Conservation Commission shall have authority to invest
18 the assessments. All proceeds of the investment shall be placed in
19 the Indemnity Fund. Fifty Thousand Dollars (\$50,000.00) from the
20 interest income for each year on the total proceeds in the Indemnity
21 Fund shall be paid to the Conservation Commission annually for the
22 development of ~~controlled~~ prescribed burn plans and for
23 administration of the Indemnity Fund. The balance of the accrued
24 interest each year shall remain a part of the Indemnity Fund.

1 E. The maximum amount the fund shall pay for losses arising
2 from any one prescribed fire event is One Million Dollars
3 (\$1,000,000.00). For purposes of this subsection, "losses arising
4 from any one prescribed fire event" means all activities conducted
5 pursuant to any one burn plan and, if required, burn permit.

6 F. When a loss is incurred, the landowner shall present a claim
7 to the Conservation Commission. To verify the claim, the landowner
8 shall present any evidence required by the Conservation Commission
9 including, but not limited to, evidence that the landowner strictly
10 adhered to the plan provided for in subsection C of this section.
11 All landowner claim payments shall be made by the Conservation
12 Commission from the Indemnity Fund as soon as practicable and not
13 later than one (1) year following the date of claim. The price per
14 acre of land shall be established on the day of the loss and shall
15 be for the full market value on that day.

16 ~~F.~~ G. If there is an insufficient amount of funds in the
17 Indemnity Fund to cover all claims for a certain year, payments
18 shall be made on a pro rata basis up to one hundred percent (100%)
19 of the total loss of each landowner. If payment is not received in
20 the amount of one hundred percent (100%) of total loss for a certain
21 year, then additional amounts shall be paid as funds become
22 available in succeeding years until repayment of one hundred percent
23 (100%) of total loss is attained. If, at any time, a landowner
24 receives payment totaling more than one hundred percent (100%) of

1 total loss, the excess payment shall be returned to the Indemnity
2 Fund within thirty (30) days. Upon final payment of a claim to a
3 landowner from the Indemnity Fund, the landowner shall subrogate the
4 interest to the Conservation Commission in a cause of action against
5 any and all parties, to the amount of loss that the producer was
6 reimbursed by the Indemnity Fund.

7 ~~G.~~ H. The landowner shall, within sixty (60) days of the date
8 of loss, present the claim to the Conservation Commission.

9 Landowners may submit a written request to the Conservation
10 Commission for a sixty-day extension of the filing period, if the
11 landowner can show that the landowner was not provided notification
12 and reasonable time to file a claim. If the claim of loss is not
13 presented within the time and in the manner required, the claim
14 shall be forever barred and the landowner shall forfeit all rights
15 to remuneration or payment.

16 ~~H.~~ I. If state funds are appropriated to the Indemnity Fund,
17 the Conservation Commission shall establish the rules and procedures
18 necessary to ensure that the General Revenue Fund shall be
19 reimbursed from the assessments in an amount equal to the total
20 appropriation made to the Indemnity Fund. The reimbursement shall
21 be made in a timely manner, provided the intents and purposes of
22 this section to compensate landowners for losses incurred shall not
23 be adversely affected.

~~§. J.~~ J. The monies deposited in the Indemnity Fund shall at no time become part of the general budget of any state board, commission, or agency, except the Conservation Commission.

~~J.~~ K. The Executive Director of the Conservation Commission shall investigate all potential civil action claims against persons for recovery of any losses paid by the Indemnity Fund.

~~K. L.~~ No provision of this section shall preclude any landowner from conducting a lawful burn without participating in the Oklahoma Controlled Prescribed Burn Indemnity Fund.

SECTION 2. This act shall become effective November 1, 2026.

Passed the House of Representatives the 10th day of March, 2026.

Presiding Officer of the House
of Representatives

Passed the Senate the _____ day of _____, 2026.

Presiding Officer of the Senate